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# Banking Law — Unit I

*Read it like a story. Remember it for life.*

LL.B. (3 YDC) · Semester V · Banking Law including Negotiable Instruments

1. **History and evolution of banking law in India** — From agency houses to UPI · the Banking Regulation Act, 1949
2. **Salient features of the Banking Regulation Act, 1949** — Licensing · capital · reserves · RBI's control · crisis powers
3. **Concept of banking business — who is a banker?** — Deposits + lending + cheques · statutory and judicial tests
4. **Kinds of banking and classification of banks** — Central, commercial, co-operative, development, payment and small finance banks
5. **Impact of information technology on banking** — NEFT · RTGS · IMPS · UPI · CTS · e₹ · the law that governs them

## How to read these notes

Each chapter opens with a **big idea**, then **the story of the topic** — read it like a novel, the highlighted words are the ones examiners look for. Then come the **definitions, rules and exceptions**, the **landmark cases as comic stories**, a ✍ **write-it-like-this** exam frame, a quick self-test and a ★ **memory hook**.

🙏 Spoorthi Oum 🙏

CHAPTER 1 · 6 PARTS

# History and evolution of banking law in India

*From agency houses to UPI · the Banking Regulation Act, 1949*

> **Big idea**
>
> Indian banking grew from **moneylenders and agency houses**, through **Presidency banks** and **nationalisation**, to **digital banking**. Banking **law** grew each time a crisis showed a gap.

## 📖 The story of this topic

Long before any bank building, an Indian village had its **sahukar** or **shroff**. Farmers borrowed from him at sowing time; traders sent money across the country using **hundis** — written orders to pay, very much like today's bills of exchange. These **indigenous bankers** were efficient but unregulated, and interest was often crushing.

Modern, European-style banking arrived with the **East India Company's** trade. The **Bank of Hindustan** (1770, Calcutta) was among the first; it failed in the 1830s. Then came the three **Presidency Banks** — **Bank of Bengal** (1806, begun as the Bank of Calcutta), **Bank of Bombay** (1840) and **Bank of Madras** (1843) — which merged in **1921** into the **Imperial Bank of India**. Meanwhile the **Swadeshi**

spirit produced banks run with Indian capital and management, like **Punjab National Bank** (1894). But many small banks also **failed**, taking ordinary people's savings with them. The lesson was clear: banks need a **regulator** and a **rule-book**.

The regulator came first — the **Reserve Bank of India**, which began work in **1935** (RBI Act 1934) and was nationalised on **1 January 1949**. The rule-book followed: the **Banking Companies Act, 1949**, in force from **16 March 1949**, renamed the Banking Regulation Act from **1 March 1966** when it was extended to **co-operative banks**. In **1955** the Imperial Bank became the **State Bank of India**.

Then came the political turning point. On **19 July 1969**, the Government took over **14 banks** with deposits of **₹50 crore or more**. A shareholder and director, **R.C. Cooper**, challenged it. An eleven-judge bench struck the Act down (10:1): it **discriminated** by barring only those banks from future banking, and the **compensation** was not based on relevant principles. Parliament re-enacted the nationalisation in **1970**, and the **25th Amendment (1971)** replaced 'compensation' with '**amount**'. In **1980**, **6 more** banks were nationalised. Nationalisation took banks to villages and to **priority sectors** like agriculture and small industry — but also brought inefficiency and bad loans.

Reforms followed the **Narasimham Committee** (1991): **new private banks** (1993–94), **SARFAESI** (2002) for recovery, and later **s.35AA** (2017) letting the RBI push banks to start **insolvency** cases. After the **PMC Bank** crisis (2019), the **2020 amendment** brought co-operative banks under stronger RBI control. The **Banking Laws (Amendment) Act, 2025** allowed up to **four nominees** for deposits. And through **UPI** (2016), banking moved from the counter to the phone.

## Milestones TIMELINE

### Ancient & medieval

**Indigenous bankers** — shroffs, sahukars, chettiars; **hundis** as bills of exchange.

### 1770

**Bank of Hindustan**, Calcutta (set up by Alexander & Co.) — among the first European-style banks; failed in the 1830s.

### 1806 · 1840 · 1843

Three **Presidency Banks** — Bank of Bengal (begun as Bank of Calcutta), Bank of Bombay, Bank of Madras.

### 1865 · 1894

Allahabad Bank (founded by Europeans); **Punjab National Bank** — the first bank run with Indian capital and management (Swadeshi spirit).

### 1921

Presidency banks merge into the **Imperial Bank of India**.

### 1935

**Reserve Bank of India** begins (RBI Act 1934); nationalised on **1 January 1949**.

### 1949

**Banking Companies Act, 1949** — in force **16 March 1949**; renamed **Banking Regulation Act** from **1 March 1966**, when it was extended to co-operative banks.

### 1955

Imperial Bank becomes the **State Bank of India** (1 July 1955).

### 1969 · 1980

**Nationalisation** — 14 banks (19 July 1969), 6 more (15 April 1980).

### 1991 onwards

**Narasimham Committee** reforms; new private banks (1993–94); SARFAESI Act 2002.

### 2016–2025

UPI (2016); IBC route for bad loans via **s.35AA** (2017); co-operative banks brought under fuller RBI control (2020); **Banking Laws (Amendment) Act 2025**.

⚖️ *Case story*

## Rustom Cavasjee Cooper v. Union of India (Bank Nationalisation case)

**1970 · Supreme Court of India (eleven judges, 10:1)**

🧑‍💼 R.C. Cooper (shareholder and director of banks)

🏛️ Union of India ⚖️ Supreme Court

**Union**

By ordinance and then an Act, we take over 14 major banks — 19 July 1969.

**Cooper**

These 14 alone are barred from banking ever again — others are not! And the compensation ignores real value.

**Supreme Court**

Hostile discrimination and compensation on irrelevant principles. The Act is void.

**Parliament**

We re-enact it in 1970 — and amend the Constitution in 1971 to say 'amount', not 'compensation'.

On 19 July 1969 the Government took over **14 banks** with deposits of ₹50 crore or more, first by **ordinance** and then by the **Banking Companies (Acquisition and Transfer of Undertakings) Act, 1969**. R.C. Cooper, a shareholder, challenged it.

The Court held that a **shareholder could maintain** the petition when the action affected his rights. The Act was struck down because (1) it **prohibited** the named banks from carrying on banking in future while other banks (including foreign banks) could — **hostile discrimination** under Art. 14; and (2) the compensation was not based on **relevant principles** as Art. 31(2) then required. The Court also rejected the narrow *A.K. Gopalan* approach: the **effect** of a law on fundamental rights matters, not just its object.

**Held** → The 1969 Act was **void**. Parliament re-nationalised the banks through the **1970 Act**, and the **25th Amendment (1971)** replaced 'compensation' with '**amount**' in Art. 31(2).

### 🔗 How it locks into the section

The **nationalisation** chapter of banking history — and a leading constitutional case. Use it for 'effects of nationalisation' answers: rural branches, priority-sector lending, mass banking.

## Effects of nationalisation — asked in 2013

🏘️ **Branch expansion**
lead bank scheme; rural and semi-urban branches

🌾 **Priority sector**
credit to agriculture, small industry, weaker sections

🔒 **Public confidence**
deposits backed by the State

⚠️ **Downsides**
political interference, inefficiency, NPAs — leading to 1990s reforms

## ✍️ Write it in the exam like this

Q. Trace the history of banking in India and the evolution of the Banking Regulation Act.

1. Indigenous banking — shroffs, hundis.
2. Colonial phase — Bank of Hindustan, Presidency banks, Imperial Bank, Swadeshi banks; failures.
3. Regulation — RBI 1935/1949; BC Act 1949 → BR Act 1966; SBI 1955.
4. Nationalisation — 1969, 1980; R.C. Cooper (1970); 25th Amendment.
5. Reforms — Narasimham, private banks, SARFAESI, s.35AA, 2020 and 2025 amendments; digital.
6. Importance today. Conclude.

## Quick self-test ANSWERS BELOW EACH

**Q1. When did the Banking Companies Act come into force and when was it renamed?**

16 March 1949; renamed Banking Regulation Act from 1 March 1966.

**Q2. How many banks were nationalised in 1969 and 1980?**

14 in 1969; 6 in 1980.

**Q3. Why was the 1969 nationalisation Act struck down?**

Hostile discrimination (Art. 14) and compensation on irrelevant principles (Art. 31(2)) — R.C. Cooper, 1970.

## Asked in past papers 2 QUESTIONS · 2013–2020

**2013 · Part B** Evaluate the effects of Nationalization of Banks of the Society.

**2019 · Part B** Trace the history of banking system in India and its importance in modern times.

### ★ Memory hook

**1770 · 1921 · 1935 · 1949 · 1955 · 1969 · 1980 · 1991 · 2016.**

'Hindustan → Imperial → RBI → BR Act → SBI → Nationalise ×2 → Reform → UPI.'

CHAPTER 2 · 7 PARTS

# Salient features of the Banking Regulation Act, 1949

*Licensing · capital · reserves · RBI's control · crisis powers*

> **Big idea**
>
> The **BR Act** is the rule-book that decides **who may be a bank**, **what it may do**, and **how the RBI watches over it** — from birth (licence) to rescue (moratorium, amalgamation).

## 📖 The story of this topic

Suppose a group of friends wants to start 'Sunrise Bank Ltd.'. The **Banking Regulation Act, 1949** will follow this bank through its whole life — from birth to rescue — like a strict but caring guardian.

**Birth.** Sunrise cannot open its doors without a licence from the RBI (**s.22**). It must have the **minimum capital** (**s.11**), follow rules on **capital and voting rights** (**s.12**), and use the word 'bank', 'banker' or 'banking' in its name — words that, subject to narrow exceptions, no other company may use (**s.7**). Its board must have a majority of directors with **special knowledge** (accountancy, agriculture, banking, law, etc.) (**s.10A**).

**Daily life.** Sunrise may do only the businesses listed in **s.6** — lending, bills, guarantees, agency work and the

like — and **nothing else**. It cannot trade in goods (**s.8**): no buying and selling rice or cloth, except while realising a security. If it gets land from a defaulting borrower, it must sell it within **7 years** (**s.9**). Before paying dividends it must move at least **20% of profits** to a **reserve fund** (**s.17**). It must keep a **cash reserve** (s.18 for non-scheduled banks; scheduled banks keep CRR under s.42 of the RBI Act) and hold **liquid assets** — cash, gold, approved securities — the **SLR** (**s.24**, ceiling 40%). It needs RBI permission to open or shift **branches** (**s.23**), and faces limits on loans to its own **directors** (**s.20**).

**Watch.** Sunrise files **returns** (**s.27**) and audited **balance sheets** (**ss.29–31**). The RBI can **inspect** it (**s.35**) and issue binding **directions** in the public interest or to protect depositors (**s.35A**).

**Rescue.** If Sunrise gets into trouble, the RBI can **remove** managers (**s.36AA**), **supersede the board** (**s.36ACA**), and ask the Central Government for a moratorium while it prepares a scheme of **reconstruction or amalgamation** (**s.45**). This is exactly what happened to **Yes Bank** in March 2020 (board superseded, withdrawals capped at ₹50,000, SBI-led reconstruction, moratorium lifted within two weeks) and **Lakshmi Vilas Bank** in November 2020 (merged with **DBS Bank India**). For **co-operative**

**banks**, **s.56** applies the Act with modifications — strengthened in **2020** after the **PMC Bank** crisis.

## *The sections you must quote* TABLE

| Section | What it says |
|---|---|
| s.5(b) | **Banking** — accepting deposits from the public for lending or investment, repayable on demand or otherwise, withdrawable by cheque, draft, order or otherwise. |
| s.5(c) | **Banking company** — any company which transacts the business of banking in India. |
| s.6 | **Forms of business** a bank may carry on (lending, bills, guarantees, agency, safe deposit…); no other business s.6(2). |
| s.7 | Use of the words **'bank', 'banker', 'banking'** — only by banking companies (narrow exceptions); a banking company must use at least one in its name. |
| s.8 | **No trading** — no buying, selling or bartering of goods, except in realising security. |
| s.9 | **Non-banking assets** — immovable property acquired in satisfaction of claims to be disposed of within **7 years** (extendable by RBI). |
| s.10A | Board composition — majority of directors with **special knowledge** (accountancy, agriculture, banking, law, etc.). |
| s.11 · s.12 | **Minimum capital** and reserves; regulation of capital and **voting rights**. |
| s.17 | **Reserve fund** — at least **20% of profit** transferred before declaring dividend. |

| Section | What it says |
|---|---|
| s.18 · s.24 | **Cash reserve** (s.18 — non-scheduled banks only; scheduled banks keep CRR under s.42 RBI Act) and **liquid assets (SLR)** s.24 — cash, gold, unencumbered approved securities; SLR ceiling 40%. |
| s.20 | Restrictions on loans to **directors** and their concerns. |
| s.21 · s.35A | RBI may control **advances** and issue binding **directions** in public interest / depositors' interest. |
| s.22 | **Licence** from RBI is compulsory to carry on banking in India. |
| s.23 | RBI permission to open **new branches** or shift existing ones. |
| s.29 · s.30 · s.35 | Accounts and balance sheet; **audit**; **inspection** by RBI. |
| s.35AA | (2017) Central Government may authorise RBI to direct banks to start **insolvency proceedings** (IBC) against defaulters. |
| s.36AA · s.36ACA | RBI may **remove** managerial persons and **supersede the board** of a banking company. |
| s.45 | RBI may seek a **moratorium** from the Central Government and prepare a scheme of **reconstruction or amalgamation**. |
| s.45ZA | **Nomination** for deposits — the 2025 amendment allows up to **four nominees**. |
| s.56 | Application of the Act to **co-operative banks** with modifications (strengthened in 2020). |

# The life-cycle control of a bank MAP

## RBI under the BR Act

### Birth

- licence s.22
- capital s.11
- name s.7

### Daily life

- business allowed s.6 · no trading s.8
- CRR / SLR s.18, s.24
- reserve fund s.17
- branches s.23

### Watch

- returns s.27 · accounts & audit s.29–s.31
- inspection s.35
- directions s.35A

### Rescue / exit

- remove managers s.36AA
- supersede board s.36ACA
- moratorium & amalgamation s.45
- winding up (Part III)

⚖️ *Case story*

## Yes Bank and Lakshmi Vilas Bank — two rescues

**2020 · RBI and Central Government under s.45**

🏦 Yes Bank (private bank in distress) 🏦 Lakshmi Vilas Bank 🏛️ RBI 💼 Depositors

🏛️ **RBI (5 March 2020)**

Yes Bank's board is superseded. Moratorium — withdrawals capped at ₹50,000.

💼 **Depositors**

Will we lose our money?

🏛️ **Govt. & RBI**

Reconstruction scheme — SBI and other banks invest. Moratorium lifted on 18 March 2020.

🏛️ **RBI (Nov 2020)**

Lakshmi Vilas Bank: moratorium, then amalgamated with DBS Bank India.

**Yes Bank (March 2020)**: after its financial position worsened, the RBI **superseded its board** and an **administrator** was appointed; the Central Government imposed a **moratorium under s.45** with a withdrawal limit. A **reconstruction scheme** was notified in which **SBI** took a large stake; the moratorium ended within about two weeks.

**Lakshmi Vilas Bank (November 2020)**: a moratorium under **s.45** was followed by **amalgamation** with **DBS Bank India Ltd.**, a subsidiary of a foreign bank — depositors' money was protected.

***Held*** → The BR Act's **crisis powers** — supersession of the board, moratorium and compulsory reconstruction or amalgamation under **s.45** — protect depositors without a disorderly collapse.

🔗 ***How it locks into the section***

When writing 'salient features', add **s.45** with a real example — examiners like it.

📌 ***Also remember***

**PMC Bank crisis (2019)**: losses hidden through loans to one real-estate group led the RBI to issue directions (s.35A read with **s.56**) restricting withdrawals. It pushed the **2020 amendment** bringing co-operative banks under stronger RBI control; PMC was later taken over by **Unity Small Finance Bank** (2022).

## ✍️ Write it in the exam like this

Q. Discuss the salient features of the Banking Regulation Act, 1949.

1. Introduction — history (1949, 1966), object: protect depositors, regulate banks.
2. Definitions — s.5(b), 5(c).
3. Birth — s.22, 11, 12, 7, 10A.
4. Business — s.6, 8, 9, 17, 18/24, 20, 23.
5. RBI control — ss.27, 29–31, 35, 35A, 35AA, 36AA, 36ACA, 45; co-operative banks s.56.
6. Examples — Yes Bank, Lakshmi Vilas, PMC. Conclude.

## Quick self-test ANSWERS BELOW EACH

**Q1. Can a company carry on banking without an RBI licence?**

No — s.22.

**Q2. How much profit must be moved to the reserve fund?**

At least 20%, before any dividend — s.17.

**Q3. Can a bank run a cloth business?**

No — s.8 prohibits trading in goods except in realising security.

## Asked in past papers 6 QUESTIONS · 2013–2020

| | |
|---|---|
| **2012 · Part B** | Explain the salient features of Banking Regulation Act. |
| **2013 · Part B** | Explain salient features of Banking Companies Regulation Act. |

| | |
|---|---|
| **2014 · Part B** | Explain the salient features of the Banking Regulation Act. |
| **2017 · Part B** | Explain the concept of banking and discuss the objectives, salient features of the Banking Regulation Act. |
| **2018 · Part B** | Discuss the salient features of the Banking Regulation Act. |
| **2020 · Part B** | Discuss the various provisions of Banking Regulation Act. |

★ *Memory hook*

'Bank' licence: s.22 · Name: s.7 · No trade: s.8 · 20% reserve: s.17 · SLR: s.24 · Directions: s.35A · Rescue: s.45 · Co-ops: s.56.

CHAPTER 3 · 8 PARTS

# Concept of banking business — who is a banker?

*Deposits + lending + cheques · statutory and judicial tests*

> **Big idea**
>
> Not everyone who lends money is a **bank**. The hallmark of banking is **accepting public deposits, repayable on demand, and withdrawable by cheque**, and using them to **lend or invest**.

## 📖 The story of this topic

Mohan, a rich trader, lends money to his relatives. Is he a **banker**? No. Shanti's tailoring company takes deposits from the public only to run its own tailoring business. Is it a **bank**? Also no. Then what makes a bank a bank?

The **Banking Regulation Act** answers in **s.5(b)**: banking is accepting, for the purpose of lending or investment, deposits of money from the public, repayable on demand or otherwise, and withdrawable by cheque, draft, order or otherwise. Break it into five pieces: (1) **accepting deposits**, (2) **from the public**, (3) **for lending or investment**, (4) **repayable** on demand or after a time, (5) **withdrawable** by cheque, draft or order. Mohan fails (1) and (2). A **banking company** is any company that transacts this business in India (**s.5(c)**) — but its **Explanation** excludes a

manufacturing or trading company that accepts deposits **only to finance its own business**, like Shanti's.

Courts and writers added practical tests. **Sir John Paget** said no one can be a banker who does not take **deposit accounts**, take **current accounts**, issue and pay **cheques**, and **collect cheques** for customers. In *United Dominions Trust v. Kirkwood* (1966), a finance house sued Kirkwood, a managing director who had **indorsed** his company's bills. He argued UDT was an unregistered **moneylender**, so it could not sue. **Lord Denning** listed the usual characteristics of banking — **collecting cheques** for customers, **paying cheques** drawn by them, and keeping **current accounts** — and added that where these are not clear, the firm's **reputation** amongst ordinary intelligent commercial men helps (here, bankers treated UDT as a bank). By a 2:1 majority (Harman L.J. dissenting), UDT was held to be a bank.

An Australian judge, **Isaacs J.**, in *State Savings Bank of Victoria v. Permewan Wright* (1914), went to the root: the essence of banking is **collecting money by receiving deposits** and **using it by lending** again. Cheques and current accounts were, in his words, merely 'accidental and auxiliary'.

Why does the definition matter? Because only a bank gets a **licence**, uses the word 'bank', and enjoys the

protections of banking law. Companies that take deposits **without** being banks — like the residuary non-banking company in *Peerless v. RBI* (1992) — are regulated separately under **Chapter IIIB of the RBI Act**; there, the Supreme Court upheld RBI directions requiring such companies to invest deposits safely to **protect small depositors**.

### The statutory definition

s.5(b) BR Act

'**Banking**' means the **accepting**, for the purpose of **lending or investment**, of **deposits of money from the public**, **repayable on demand or otherwise**, and **withdrawable by cheque, draft, order or otherwise**.

- ✓ **Accepting deposits** — the starting point.
- ✓ **From the public** — not just friends or employees.
- ✓ **For lending or investment** — deposits taken to run one's own trade are not banking.
- ✓ **Repayable** on demand or after a fixed time.
- ✓ **Withdrawable** by cheque, draft, order or otherwise.

### ✕ Exceptions / limits

✗ **Explanation to s.5(c)**: a company engaged in **manufacture or trade** which accepts deposits **only to finance its own business** is **not** a banking company.

✗ **NBFCs** may accept certain deposits under the RBI Act, but they **cannot issue cheques** drawn on themselves — they are not banks.

## Paget's four tests of a banker

🏦 **Takes deposit accounts**

💳 **Takes current accounts**

🧾 **Issues and pays cheques**

📥 **Collects cheques**
crossed and uncrossed, for customers

### ⚖️ Case story

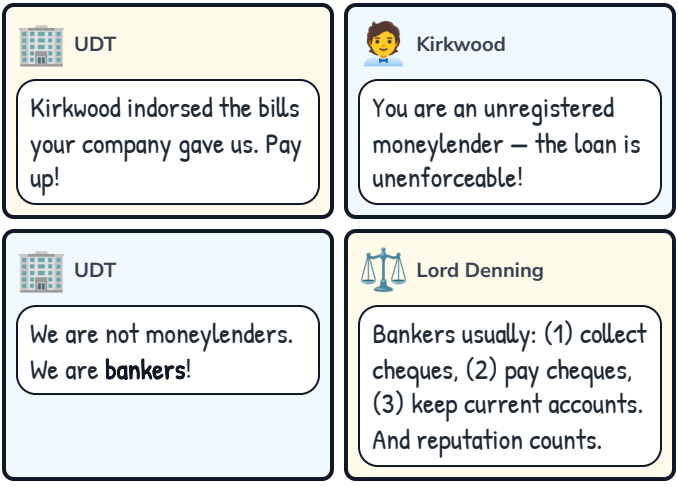
## United Dominions Trust Ltd. v. Kirkwood

**1966 · Court of Appeal, England (Lord Denning M.R. and Diplock L.J.; Harman L.J. dissenting)**

🏢 United Dominions Trust (a finance house)

🧑‍💼 Kirkwood (managing director who indorsed the company's bills)

⚖️ Court of Appeal




UDT lent money to a garage company; Kirkwood, its managing director, had indorsed bills of exchange given to UDT as security. When UDT sued, Kirkwood argued that UDT was an **unregistered moneylender**, so the loan could not be enforced. UDT replied that it was **'bona fide carrying on the business of banking'** and therefore exempt.

Lord Denning said that the usual characteristics of banking are: (1) **accepting money from customers and collecting cheques** for them, placing the money to their credit; (2) **honouring cheques or orders** drawn on them by customers; and (3) **keeping current accounts** in which debits and credits are entered. Where these are not clearly present, the **reputation** of the firm among bankers can help decide.

***Held*** → UDT was held to be carrying on the business of banking — largely on the evidence of its **reputation** in the banking community.

🔗 ***How it locks into the section***

Use **UDT v. Kirkwood** with **s.5(b)** in any 'define a bank / banking business' answer — statutory definition + judicial tests.

📌 ***Also remember***

**Commissioners of the State Savings Bank of Victoria v. Permewan, Wright & Co. (1914, High Court of Australia)** — Isaacs J.: the essential characteristics of banking are the **collection of money by receiving deposits** repayable when and as agreed, and **using that money by lending it again**. Cheques, current accounts and similar methods are, in his words, merely 'accidental and auxiliary' — not essentials.

⚖️ ***Case story***

## Peerless General Finance & Investment Co. v. Reserve Bank of India

**1992 · Supreme Court of India**

🏢 Peerless (a residuary non-banking company) 🏛️ RBI ⚖️ Supreme Court

**Peerless**

We collect small savings from lakhs of people. RBI cannot tell us how to invest!

**RBI**

You take public deposits. Depositors need protection — invest a safe portion in approved securities.

**Supreme Court**

The RBI's directions are valid — protecting depositors is in public interest.

Peerless was a **residuary non-banking company (RNBC)** that collected deposits from small savers across the country. The RBI issued directions requiring such companies to invest a large share of deposits in **safe, approved securities**. Peerless challenged them.

The Supreme Court upheld the RBI's power under **Chapter IIIB of the RBI Act** to regulate deposit-taking by non-banking companies in the interest of depositors and the monetary system.

> ***Held*** → RBI directions regulating **deposit acceptance** by non-banking companies are **valid**.

> 🔗 ***How it locks into the section***
>
> Shows the line between **banks** (BR Act) and **non-banks** that take deposits (RBI Act, Chapter IIIB) — both regulated, but differently.

## ✍️ Write it in the exam like this

Q. Define a bank. Explain the law relating to banking business.

1. Introduction — importance of banks.
2. Statutory definition — s.5(b) (five elements), s.5(c) with Explanation; s.6 forms of business; s.7.
3. Judicial and academic tests — Paget; UDT v. Kirkwood; Permewan Wright.
4. Distinguish banks vs NBFCs — Peerless (1992).
5. Importance in modern times. Conclude.

## Quick self-test ANSWERS BELOW EACH

**Q1. Name the five elements of 'banking' in s.5(b).**

Accepting deposits · from the public · for lending or investment · repayable on demand or otherwise · withdrawable by cheque, draft, order or otherwise.

**Q2. A textile mill accepts deposits from the public to fund its mill. Is it a bank?**

No — Explanation to s.5(c): deposits only to finance its own business.

**Q3. Lord Denning's three characteristics?**

Collect cheques for customers; pay cheques drawn by customers; keep current accounts (UDT v. Kirkwood).

## Asked in past papers 2 QUESTIONS · 2013–2020

**2016 · Part B** Define a Bank. Discuss the law relating to Banking Business and its importance in modern times.

**2017 · Part B** Explain the concept of banking and discuss the objectives, salient features of the Banking Regulation Act.

★ *Memory hook*

**Banking = Deposit + Lend + Cheque.** s.5(b): **A-P-L-R-W** — Accept, Public, Lend, Repay, Withdraw.

CHAPTER 4 · 9 PARTS

# Kinds of banking and classification of banks

*Central, commercial, co-operative, development, payment and small finance banks*

> **Big idea**
>
> Banks are like a **family**: the **RBI** is the parent; **commercial, co-operative, rural and specialised** banks are the children — each with its own job and its own rules.

## 📖 The story of this topic

Think of Indian banking as one big **family**. At the top sits the parent — the **Reserve Bank of India**. It issues currency, is **banker to the Government**, the **banker's bank** (keeping banks' reserves and lending to them), the **lender of last resort**, and the **regulator** of the whole family.

The working children are the **commercial banks**. **Public sector banks** — SBI and the nationalised banks (**12** after the 2020 mergers, as of 2026) — are majority Government-owned. **Private banks** (old ones like Karur Vysya, new ones from the 1990s) and **foreign banks** follow. **Regional Rural Banks** (RRB Act 1976) serve farmers and rural people. Since 2015–17, two new 'differentiated' cousins have joined: **payment banks**, which accept small demand deposits

(up to **₹2 lakh** per customer) and handle payments but cannot lend, and **small finance banks**, which **lend** to small businesses and farmers and must give **60%** of their credit (ANBC) to the priority sector (75% until 2024-25).

Then there are **co-operative banks** — owned by their members. Urban co-operative banks serve towns; in villages there is a three-tier structure — **State co-operative banks**, **district central co-operative banks**, and **primary agricultural credit societies** at the base (PACS are **not 'banks'** under the BR Act — s.3). Co-operative banks live under **dual control**: the RBI for **banking**, the State's Registrar of Co-operative Societies for **management** (the 2020 amendment shifted much management control to the RBI too). In *Pandurang Ganpati Chaugule* (2020), a borrower argued that co-operative banks, being a State subject, could not use the central **SARFAESI Act** against him. The Constitution Bench held that their **banking** activity falls under **Entry 45, List I** (Parliament's field), so they are 'banks' for SARFAESI.

Specialist relatives finance particular sectors: **NABARD** (1982) for agriculture and rural development, **SIDBI** (1990) for small industries, **EXIM Bank** (1982) for exports, and **NHB** (1988) for housing finance.

Banks are also grouped by **status**: a **scheduled bank** is one listed in the **Second Schedule of the RBI Act** (s.42(6)); others are **non-scheduled**. And by **function**: **retail** banking for individuals, **wholesale** for big companies, **mixed banking** (commercial banking plus industrial investment), **universal banking** (one group offering banking, insurance and investments), **unit vs branch** banking, and the old **indigenous bankers**. For every family member, the **DICGC** insures deposits up to ₹5 lakh per depositor per bank

## The Indian banking family MAP

### Banks in India

**Central bank**

- **RBI** — issues currency, banker to Government, banker's bank, lender of last resort, regulator

**Scheduled commercial banks**

- **public sector** — SBI and nationalised banks (12 PSBs after the 2020 mergers)
- **private sector** — old and new private banks
- **foreign banks** — branches or wholly owned subsidiaries
- **Regional Rural Banks** (RRB Act 1976)
- **small finance banks** · **payment banks** (in-principle approval 2015; operating from 2016–17)

**Co-operative banks**

- **urban** co-operative banks
- **rural** — State co-operative banks, district central co-operative banks (PACS at the base are not 'banks' — s.3 BR Act)
- regulated by RBI (banking functions) under **s.56 BR Act**, and by co-operative societies laws (management)

**Development / specialised institutions**

- **NABARD** (1982) — agriculture & rural development
- **SIDBI** (1990) — small industries
- **EXIM Bank** (1982) — exports

- **NHB** (1988) — housing finance

## Scheduled vs non-scheduled banks COMPARE

### Scheduled

- included in the **Second Schedule** of the RBI Act (s.42(6))
- paid-up capital and reserves above the prescribed level; affairs not harmful to depositors
- can borrow from RBI; keep CRR with RBI

VS

### Non-scheduled

- **not** in the Second Schedule
- keep cash reserve with themselves or in a current account with the RBI s.18 BR Act
- few in number today

## Differentiated banks (approved 2015) TABLE

| Point | Payment bank | Small finance bank |
|---|---|---|
| **Purpose** | payments and small savings for migrants, low-income households | credit to small businesses, farmers, unorganised sector |
| **Deposits** | only demand deposits — up to **₹2 lakh** per customer | all types of deposits |
| **Lending** | **cannot lend** | can lend — **60%** of ANBC to priority sector (75% until FY 2024-25) |
| **Examples** | India Post Payments Bank, Airtel Payments Bank | Equitas, Ujjivan, Jana |

## Kinds of banking by function

🏪 **Retail / branch banking**
deposits and loans for individuals through a branch network

🏢 **Wholesale / corporate**
large loans to companies and governments

🔀 **Mixed banking**
commercial banking + investment in industry (shares, long-term finance) — asked in 2017

🧩 **Universal banking**
one group offers banking, insurance, mutual funds, investment banking

👥 **Unit vs branch banking**
single office (unit) vs many branches under one bank

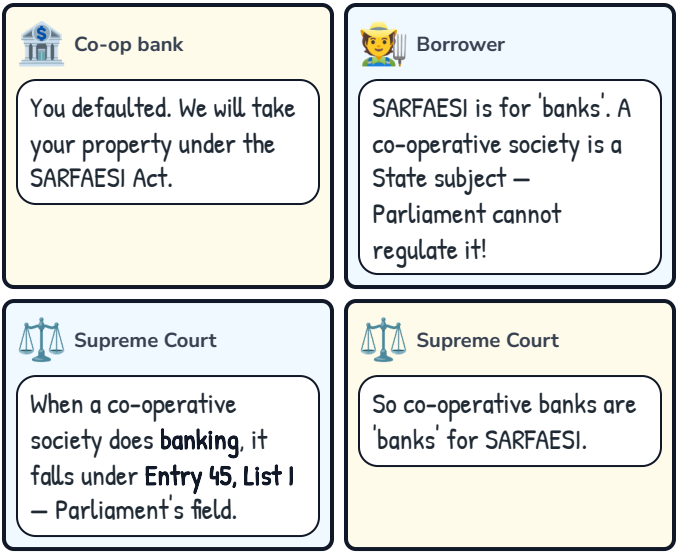
📜 **Indigenous banking**
shroffs, sahukars, chettiars — hundis, outside RBI's direct control

⚖️ *Case story*

### Pandurang Ganpati Chaugule v. Vishwasrao Patil Murgud Sahakari Bank Ltd.

**2020 · Supreme Court of India (Constitution Bench)**

👨‍🌾 Borrower of a co-operative bank · 🏦 Co-operative bank · ⚖️ Supreme Court




A co-operative bank started recovery under the **SARFAESI Act, 2002**. The borrower argued that co-operative societies are a **State subject** (Entry 32, List II), so Parliament could not apply SARFAESI to them.

The Constitution Bench held that **co-operative banks**, in so far as they carry on **banking**, are governed by **Entry 45 of List I** (banking) — so Parliament can legislate on their banking activity (and recovery of dues), while their incorporation and management remain with the States. Co-operative banks under **s.56 BR Act** are '**banks**' under SARFAESI.

> ***Held*** → Co-operative banks are 'banks' for SARFAESI; **banking** by them falls within **Parliament's** legislative field.

### 🔗 How it locks into the section

Explains why co-operative banks have **dual control** — RBI for banking, State Registrar for management — and why the **2020 amendment** could strengthen RBI's hand.

### 📌 Also remember

**Deposit insurance**: the **DICGC** (a wholly owned RBI subsidiary) insures deposits up to **₹5 lakh per depositor per bank** (since 4 February 2020) — covering commercial, co-operative, rural, small finance and payment banks.

### ✍️ Write it in the exam like this

Q. Explain the different kinds of banks in India.

1. Introduction — structure of Indian banking.
2. Central bank — RBI functions.
3. Commercial — public, private, foreign, RRBs, payment banks, SFBs (table).
4. Co-operative — urban/rural; dual control; Pandurang Ganpati Chaugule (2020).
5. Development institutions — NABARD, SIDBI, EXIM, NHB.
6. Scheduled/non-scheduled; functional kinds (mixed, universal, etc.); DICGC. Conclude.

## Quick self-test ANSWERS BELOW EACH

**Q1. Can a payment bank give loans?**

No — payment banks cannot lend; they accept limited demand deposits (up to ₹2 lakh per customer).

**Q2. Who regulates co-operative banks?**

RBI for banking functions (s.56 BR Act; strengthened in 2020) and the State Registrar of Co-operative Societies for incorporation/management.

**Q3. What is a scheduled bank?**

A bank included in the Second Schedule of the RBI Act, 1934.

## Asked in past papers 7 QUESTIONS · 2013–2020

| | |
|---|---|
| **2012 · Part A** | NABARD |
| **2012 · Part A** | Reserve Bank of India |
| **2014 · Part A** | NABARD |
| **2015 · Part A** | Reserve Bank of India |
| **2016 · Part A** | Indigenous Bankers |
| **2017 · Part A** | Mixed Banking |
| **2020 · Part A** | Co-operative Bank |

★ *Memory hook*

RBI on top · Commercial (public, private, foreign, RRB, SFB, payment) · Co-operative (urban, rural) · Development (NABARD, SIDBI, EXIM, NHB). DICGC: ₹5 lakh.

CHAPTER 5 · 8 PARTS

# Impact of information technology on banking

*NEFT · RTGS · IMPS · UPI · CTS · ₹ · the law that governs them*

> **Big idea**
>
> Technology moved banking from the **counter** to the **phone**. The law followed: **IT Act** for electronic records, **PSS Act** for payment systems, **RBI rules** for customer safety, and the **DPDP Act** for data.

## 📖 The story of this topic

Twenty-five years ago, sending ₹5,000 to your parents in another town meant a **demand draft**, a queue, and days of waiting. Today, Priya pays her vegetable vendor with a **UPI** scan in two seconds. Information technology has changed banking more than any law — and the law has had to run to keep up.

First, the law had to accept that **electronic records** are real. The **Information Technology Act, 2000** gave legal recognition to electronic records and digital signatures. In **2002**, the **Negotiable Instruments Act** was amended to recognise a **cheque in electronic form** and a **truncated cheque** (s.6) — so in **cheque truncation (CTS)**, operated by **NPCI**, only an **image** of the cheque travels, not the paper.

Then came new payment rails. **RTGS** (2004) moves large sums — minimum **₹2 lakh** — in **real time**, one by one; **NEFT** (2005) settles in half-hourly batches; both now work **24×7**. **NPCI** (2008) built **IMPS** (2010) for instant mobile transfers and **UPI** (2016) for phone payments through a virtual address or QR code. The **Payment and Settlement Systems Act, 2007** lets the RBI regulate all such systems. In 2022 the RBI began pilots of the e-Rupee (e₹), a central bank digital currency.

But speed brings **fraud**. What if Priya's account is emptied by a fraudster? Under the RBI's **6 July 2017** circular (consolidated in November 2025 into the Responsible Business Conduct Directions, 2025), a customer has **zero liability** if the bank was negligent, or if a **third-party breach** is reported within **3 working days**; **limited liability** if reported within **4–7 working days**; the bank must **credit** the amount within **10 working days** of notice. If Priya herself **shared her OTP**, she bears the loss until she reports it. From **1 January 2027**, the Third Amendment Directions, 2026 (24 June 2026) replace this for transactions on or after that date: zero liability for a third-party breach reported within **5 calendar days**. Complaints that banks don't resolve go to the **RBI Ombudsman** (Integrated Scheme 2021, replaced by RB-IOS 2026), and personal data is protected under

the **Digital Personal Data Protection Act, 2023** (Rules notified Nov 2025; main duties phased in by May 2027).

Technology also tests the RBI's powers. In 2018 the RBI told banks to stop serving **crypto-currency** businesses. In *Internet and Mobile Association of India v. RBI* (2020), the Supreme Court agreed that the RBI **can** regulate anything that may affect the payment system — but struck down the circular as disproportionate, because the RBI had shown no actual harm to the banks it regulates. The lesson for exam answers: IT brings **convenience, inclusion and transparency**, but also **cyber-risk, privacy concerns and a digital divide** — and the law must balance both.

## Digital banking milestones TIMELINE

**1990s**

Computerisation of branches; **ATMs**; core banking solutions (CBS).

**2000**

**Information Technology Act** — legal recognition of electronic records and digital signatures.

**2002**

**Negotiable Instruments Act** amended — 'cheque in electronic form' and '**truncated cheque**' (s.6).

**2004 · 2005**

**RTGS** (real-time, high value); **NEFT** (batch transfers).

### 2007 · 2008

**Payment and Settlement Systems Act, 2007**; **NPCI** set up (2008); **cheque truncation (CTS)** begins.

### 2010

**IMPS** — instant 24×7 mobile transfers.

### 2016

**UPI** — launched by NPCI; transfers through a virtual payment address on the phone.

### 2019 · 2020

**NEFT 24×7** (Dec 2019); **RTGS 24×7** (Dec 2020); video-KYC.

### 2021

**RBI Integrated Ombudsman Scheme** — one ombudsman for banks, NBFCs and payment systems (replaced by **RB-IOS 2026** from 1 July 2026).

### 2022

**e-Rupee (e₹)** — RBI's central bank digital currency pilots (wholesale and retail).

### 2023

**Digital Personal Data Protection Act** — consent and duties for handling personal data (Rules notified Nov 2025; phased in by May 2027).

## Payment systems at a glance TABLE

| System | Run by | Speed | Best for |
|---|---|---|---|
| **NEFT** | RBI | settles in half-hourly batches, 24×7 | everyday transfers, any amount |

| System | Run by | Speed | Best for |
|---|---|---|---|
| **RTGS** | RBI | real-time, gross, one by one | large value — minimum ₹2 lakh |
| **IMPS** | NPCI | instant, 24×7 | mobile / internet transfers |
| **UPI** | NPCI | instant, 24×7 | phone payments, QR codes |
| **CTS** | NPCI (settled by RBI) | image-based cheque clearing | cheques without physical movement |

## IT's impact — the two sides COMPARE

### Benefits

- anytime, anywhere banking
- lower costs; faster clearing
- financial inclusion (Jan Dhan + UPI)
- transparency and audit trails

VS

### Risks

- cyber fraud, phishing, SIM-swap
- data breaches and privacy
- system outages
- digital divide for the elderly and rural poor

### Customer protection in unauthorised electronic transactions

RBI circular, 6 July 2017 · now in 2025 Directions

✓ **Zero liability** — if the fraud is due to the **bank's** negligence, or a **third-party breach** reported within **3 working days**.

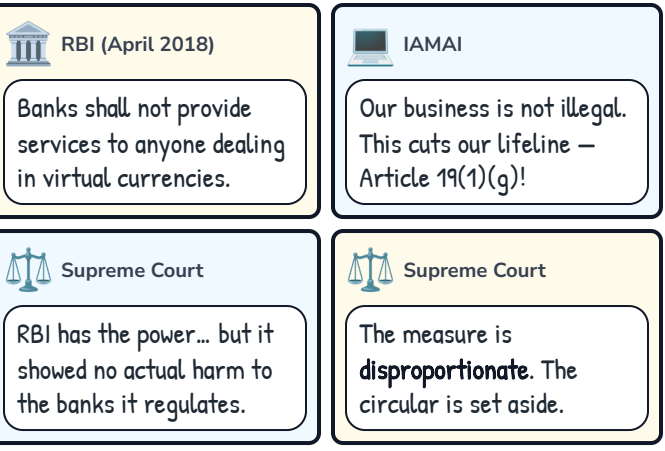
- ✓ **Limited liability** — third-party breach reported within **4–7 working days**: customer's loss capped (by account type).
- ✓ Reported **after 7 working days** — as per the bank's board-approved policy.
- ✓ **Customer's own negligence** (e.g. sharing OTP/PIN) — customer bears loss until he reports it.
- ✓ Bank must **credit** (shadow reversal) the amount within **10 working days** of notice; resolve within 90 days.
- ✓ **Note:** From **1 January 2027** the RBI's Responsible Business Conduct (Third Amendment) Directions, 2026 replace this framework — zero liability if a third-party breach is reported within **5 calendar days**; complaints resolved within 45 days (domestic) / 60 days (cross-border).

⚖️ *Case story*

## Internet and Mobile Association of India v. Reserve Bank of India

**2020 · Supreme Court of India (three judges)**

💻 IAMAI (crypto exchanges' association) 🏛️ RBI ⚖️ Supreme Court




In April 2018 the RBI issued a circular stopping regulated entities (banks) from providing services to persons or businesses dealing in **virtual currencies**. Crypto-exchanges, through IAMAI, challenged it.

The Court accepted that the RBI has power to regulate anything that may affect the **payment and banking system**, even if not expressly banned by law. But applying the **proportionality** test under **Art. 19(1)(g)**, it found that the RBI had not shown that any of its regulated entities had suffered **actual damage**, and had not considered less intrusive alternatives.

> ***Held*** → The RBI's 2018 circular was **set aside as disproportionate**, though RBI's power to regulate was affirmed.

> 🔗 ***How it locks into the section***
> Technology raises new questions; the RBI's powers under the **RBI Act, BR Act (s.35A) and PSS Act** must still be exercised **reasonably**.

## ✍️ Write it in the exam like this

Q. Discuss the impact of information technology on banking and its legal framework.

1. Introduction — from counter to mobile.
2. Developments — ATMs, CBS, RTGS, NEFT, IMPS, UPI, CTS, e₹ (timeline).
3. Legal framework — IT Act 2000, NI Act s.6 (2002), PSS Act 2007, DPDP Act 2023, Ombudsman.
4. Customer protection — RBI 2017 circular (and 2027 change).
5. Case — IAMAI v. RBI (2020).
6. Benefits vs risks table. Conclude.

## Quick self-test ANSWERS BELOW EACH

**Q1. Which Act regulates payment systems like UPI and card networks?**

The Payment and Settlement Systems Act, 2007.

**Q2. What is a truncated cheque?**

A cheque whose physical movement is stopped during clearing and an electronic image is sent instead — s.6 NI Act (2002).

**Q3. A customer reports a card fraud (third-party breach) on the 2nd working day. Liability?**

Zero liability — RBI circular of 6 July 2017.

## Asked in past papers 2 QUESTIONS · 2013–2020

**2016 · Part A** Bankers clearing house

**2020 · Part A** Banking Ombudsman

★ *Memory hook*

**IT Act 2000 · NI Act 2002 (e-cheque) · PSS Act 2007 · DPDP Act 2023.** Fraud rule (2017 circular): **3 days = zero · 7 days = limited** — from 2027, **5 calendar days = zero.**

# You have read the whole of Unit I.

Now close your eyes and tell each case story aloud once.

Guruji Sri Sri Sri Guru Viswa Spoorthi

🙏 Spoorthi Oum 🙏

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